YOUR DIAGNOSIS

YOUR CONSTRAINT IS CASH FLOW

Everything below comes out of your answers and nothing else. It's a guide rather than a custom diagnostic, so read the benchmarks as a rough shape of what good looks like at your size, not as a measurement of you against your industry.

It names one constraint. There'll be other things wrong, there always are. They're not in here because the order you fix them in matters more than the list.

01, THE CONSTRAINT

WHAT IS CAPPING THE BUSINESS

CASH FLOW CONSTRAINED

You're profitable on paper and short of cash in practice. The work is sold, the money hasn't landed, and there's nothing sitting there to fund the next job. Money takes beyond 60 days to arrive after the work is done, you've been delaying payments every month, you're holding under a fortnight of cover and you've turned down or delayed work you could have done, a few times.

That's a timing problem rather than a rate problem. Every job you win right now costs you money before it pays you, which is why winning more of them is currently the worst move available to you.

02, HOW TO FIX IT

The job is to shorten the gap between doing the work and getting paid for it. Nothing else moves until that does.

1. Take a deposit on every job. Half where you can get it, something where you can't. A deposit is the cheapest funding you'll ever raise.
2. Invoice the day the work is finished rather than at the end of the month. Most of the wait is yours, not theirs.
3. Put terms in writing before the job starts, and chase on day one past due. Not week two.
4. Get an overdraft or a facility in place while you're still profitable. Banks lend to businesses that don't look like they need it.
5. Find out which of your top five customers pays slowest, then reprice or re term that one.

03, THE SAME PROBLEM, TWICE

Cash flow is your constraint and one customer carries between 30 and 50% of your revenue. That customer is also setting your payment terms, which means they're setting your cash position. Fixing terms with them is worth more than everything else on the list.

04, YOUR RISKS, AND WHAT TO DO ABOUT THEM

Your risk sits in fragility. The business runs well enough while nothing goes wrong, and there's very little underneath it if something does. Fragility is what turns an ordinary bad month into a hole you spend two years climbing out of.

NO CONTRACTS

Your work is committed by a handshake and an email. Revenue that can be cancelled in a phone call isn't revenue you can plan against, hire against or borrow against.

What to do. Put a written agreement behind every piece of work, with terms, scope and a notice period. Start with your largest customers.

NO CASH BUFFER

You're holding under a fortnight of cover. Every business runs into a bad month. Without a buffer, a bad month turns into a decision about who you can't pay.

What to do. Build to one month of fixed costs in a separate account, then three. Move a fixed percentage of every payment that comes in, automatically, so it isn't a decision you make each time.

05, ALSO WORTH KNOWING

> Concentration shows up as a second risk as well. Worth putting on the list behind the above, not in front of it.

06, DON’T DO THIS YET

Until the cash timing is fixed, leave these alone.

- × Don't chase bigger jobs. Bigger jobs mean bigger upfront costs and longer payment cycles.
- × Don't hire. Wages are the least flexible cost you can add to a cash problem.
- × Don't buy equipment outright. Finance it, even if the interest annoys you.
- × Don't discount to get paid faster. That's borrowing at a rate you'd never accept from a bank.
- × Don't increase marketing spend. More demand you can't fund makes the hole deeper.

That's the diagnosis. One constraint, the risks sitting around it, and the things to leave alone while you fix it.

Work the constraint and check back in ninety days. That's long enough for it to move and short enough that you'll still remember what you changed.

Ryan Tayler